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ECONOMIC SURVEYS

SWITZERLAND

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS FEBRUARY 1965

BASIC STATISTICS OF THE SWITZERLAND

THE LAND

Area (thousand sq.km.)	41.3
Cultivated area (thousand sq.km.)	2.7
Grassland and pastures (thousand sq.km.)	19.0
Forest (thousand sq.km.)	9.8
Major cities, 1963 estimates (thousand inhabitants):	
— Zurich	444
— Basle	214
— Geneva	178
— Berne	170
— Lausanne	134

THE PEOPLE

Population in 1963 (thousand)	5,770
No. of inhabitants per sq.km. in 1963.	140
Net annual rate of population increase, average 1955-1963 (per thousand inhabitants)	8.1
Labour force, 1960 census (in per cent of total population)	46.3
Agricultural labour force, 1960 census (in per cent of total labour force)	10.1
Number of foreign workers (thousand):	
— February 1964	546
— August 1964	721
Increase in the number of foreign workers, annual average 1955-1964 (thousand):	
— February census	53
— August census	62

PRODUCTION

Gross national product in 1963 (millions francs)	50.5
Gross national product per capita in 1963 (U.S. dollars)	2,024
Gross fixed investment in 1963 (in per cent of GNP)	28.6
Expenditure on construction, including public works in 1963 (billions francs).	10
Gross income of agriculture in 1963 (billions francs)	3.4

THE GOVERNMENT

Public consumption in 1963 (in per cent of GNP)	11.6
Public works in 1962 (in per cent of GNP)	5.4
Current public revenue in 1963 (in per cent of GNP)	25.3
Debt of the Confederation in 1963 (in per cent of current revenue)	41

Composition of Parliament (per cent):

	National Council	State Council
	—	—
— Catholic conservatives	24	41
— Radicals democrats	25	29
— Socialists	27	7
— Agrariens and others	24	23

Last elections: 1963
Next elections: 1967

LIVING STANDARDS

Calories per head, per day; in 1962-1963	3,163
Food expenditure in 1963 (in per cent of total expenditure in worker families)	25
Average hourly earnings of unskilled workers in 1963 (francs)	4.13
Number of passenger cars in 1963 (per 1,000 inhabitants)	121
Number of telephones in 1962 (per 1,000 inhabitants)	346
Number of radio sets in 1962 (per 1,000 inhabitants)	277

FOREIGN TRADE

Exports of goods and services in 1963 (in per cent of GNP)	28.5
Main exports in 1963 (in per cent of of total exports):	
— Manufactured goods	90
of which:	
— Machinery	29
— Watches	15
Imports of goods and services in 1963 (in per cent of GNP)	31
Main imports in 1963 (in per cent of total imports):	
— Food products	15
— Machinery	16
— Fuels	8

THE CURRENCY

Monetary unit: Swiss franc.

Swiss francs per U.S. dollar: 4.32

ECONOMIC SURVEYS BY THE OECD

SWITZERLAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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INTRODUCTION

Since 1958, the Swiss economy has been expanding fast, with real gross national product rising at an average annual rate of about 6 per cent — a rate exceeded only by Italy and Japan among OECD countries. But in the last few years, this expansion has been accompanied by strong inflationary pressures, with rising prices and large external current deficits. Disinflationary measures began to be taken as early as 1960. But government policies were based entirely on voluntary agreements and appeals for restraint in employment, investment, price and wage decisions. This proved increasingly inadequate as the boom went on, and a programme of direct action — focussed on the credit and capital markets, foreign investment in Switzerland, the foreign labour force, and building activity — had to be adopted in the spring of 1964. The programme, excluding the measures in the field of foreign labour, will be submitted to a popular referendum on 28th February, 1965, and will have to be abandoned unless approved by this referendum.

Part I of this survey reviews recent trends in output and demand, prices and wages, and the balance of payments. Part II considers the policy measures adopted by the Swiss authorities. Part III discusses the adequacy of these policies.

I. RECENT DEVELOPMENTS

Table 1 illustrates in summary form the imbalance that has developed in the Swiss economy in recent years. Output has expanded strongly, assisted by the inflow of foreign labour and capital. But the increase in production has not been sufficient to accommodate the rise in domestic demand. Given the openness of the economy and its heavy dependence on foreign trade and labour, the imbalance has mainly been reflected in a large and growing current external deficit. But prices and costs have also risen, notably in sectors such as building and construction which are not strongly exposed to foreign competition.

TABLE 1. SELECTED ECONOMIC INDICATORS

Percentage increase.

	1960 TO 1963 ANNUAL RATE	1963 TO 1964
GNP[1]	5.7	6.0
Domestic demand[1]	7.5	6.0
Gross investment[1]	9.0	11.0
Gross investment[2]	16.1	16.0
Savings[2]	10.7	..
Imports of goods and services[1]	11.8	9.5
Exports of goods and services[1]	6.3	6.5
Consumer prices	3.1	3.1
Wholesale prices	2.5	1.9
Building costs	7.8	6.7

1. Constant prices.
2. Current prices.

Source: La Vie Economique and Secretariat estimates.

Output and Demand

The strong expansion of output continued through 1963 and 1964, although less fast than previously. In 1963, real gross national product rose by 4.7 per cent. The increase in employment was smaller than earlier, but productivity rose faster than in previous years. In 1964, the slowdown of the growth of employment continued, but better weather and a further steepening of the productivity advance permitted a faster rise of real gross national product than in 1963.

The slower growth of employment can be ascribed to a decline in the immigration of foreign workers, which was partly a result of measures taken by the authorities to this end. However, the number of work permits issued by the authorities continued to rise in 1964. Employment went up in the building trades and the service industries, but fell slightly in manufacturing. Unemployment was virtually eliminated; in July, 111 persons were reported out of work.

In the first half of 1963, there were indications of some slowing down of the expansion of domestic demand. But expansionary forces gathered strength in the autumn, and such indicators as exist suggest that, except for private consumption, all main demand components rose faster in 1964 than in the previous year. In the course of 1964, however, there was a certain easing of pressures in some sectors, as the disinflationary measures adopted in the spring began to have an impact.

TABLE 2. THE FOREIGN LABOUR FORCE[1]

a) BY PROFESSION

Percentages.

	DISTRIBUTION	CHANGE FROM PREVIOUS YEAR		
	1964	1962	1963	1964
Manufacturing	45	25	9	4
Building	26	14	8	6
Catering	11	6	2	4
Liberal and technical professions	4	18	12	7
Sales and office personnel	4	37	20	16
Domestic service	3	− 1	− 6	− 9
Agriculture, etc.	3	− 8	− 9	− 10
Other	4	42	10	4
Total	100	18	7	4

1. The data relate to end of August.

b) INITIAL WORK PERMITS ISSUED TO NON-NATIONALS

Thousands.

	TOTAL	CANTONAL		FEDERAL TOTAL
		TOTAL	NON SEASONAL[1]	
January-March 1963	131	131	61	—
1964	138	137	54	1
April-October 1963	272	271	126	1
1964	275	268	120	7

1. Including frontier workers.
Source: La Vie Economique.

Fixed investment has constituted a major dynamic element in recent years, stimulated, inter alia, by low interest rates and ample availability of credits which have partly reflected the persistent inflow of foreign funds. Investment in building has increased particularly fast, in value by 14 per cent in 1962 and 17 per cent in 1963. Data relating to dwellings completed and employment in the building trades point to an acceleration of building activity in 1964. The rise of building starts and authorisations reflected a steep increase in the first quarter of the year only, no doubt in anticipation of the restrictions imposed in March. In the spring and summer the number of authorised dwellings and factory projects fell below the level of a year earlier. The value of public building projects sharply increased in

TABLE 3. **EMPLOYMENT IN MANUFACTURING**[1]

	SEPTEMBER 1963		PERCENTAGE CHANGE FROM PREVIOUS YEAR			
					1964	
	TOTAL *Thousand*	SWISS *Per cent*	1962	1963	FIRST HALF	THIRD QUARTER
Total	720	63	5.4	1.6	− 0.6	− 0.3
of which:						
Metals and machinery	293	63	7.0	0.8	− 0.5	− 0.5
Textiles	69	52	1.1	− 1.7	− 3.0	− 1.9
Watches and jewellery	66	81	4.0	− 0.4	− 1.8	0.2
Clothing and shoes	65	42	4.6	2.4	− 0.1	0.4
Food, drinks, tobacco	47	65	6.5	5.3	1.2	− 0.8
Chemicals	36	82	− 2.0	4.6	2.1	2.7

1. The data cover enterprises subject to the Factory Law.
Source: La Vie Economique.

1964 although less than in the preceding two years. The development of imports and domestic sales suggests some acceleration of the growth of investment in machinery and equipment. In 1963, total investment, including stocks, represented about 30 per cent of GNP. The ratio rose in 1964, although the effect of the restrictive measures adopted in the spring began to be felt in the latter part of the year.

In recent years private consumption has expanded rather faster than GNP. The growth of retail sales was less rapid in 1964 than in 1963, but there are indications that consumer spending on categories not covered by the index rose faster than previously. In the first half of the year the number of new registrations of private motor vehicles was 12 per cent higher than a year earlier; the rise between 1962 and 1963 was only 3 per cent. The increase in Swiss tourist expenditure at home and abroad also accelerated. The rate of growth of total private consumption did not, therefore, slow down much in 1964.

The rise in public consumption sharply declined in 1963, and the rate of increase remained roughly at the lower level last year. Wages and salaries in the federal sector rose relatively fast in 1964 as a result of reclassification of Federal wage and salary earners in 1963 and pay increases accorded in 1964. But the restrictions on new personnel recruitments checked the growth of federal spending.

Exports also added importantly to total demand. The increase in exports of goods and services strongly accelerated in 1964. The rise may

TABLE 4. INDICATORS OF INVESTMENT ACTIVITY

Percentage change from previous year.

	1962	1963	1964
Real gross fixed asset formation, constant prices	10.7	6.4	11.0
Building:			
Gross asset formation in building[1]	13.6	16.9	
Public building, incl. maintenance[1]	24.2	25.7	
Private building, excl. maintenance[1]	9.5	13.9	
Dwellings completed in 65 towns	– 1.3	– 1.5	4.2[2]
Building projects reported in January[1]	27.3	12.4	20.5
Public	26.7	21.4	18.1
Private	27.5	8.2	21.7
New factory projects accepted under the Factory Law (in cubic metres)	8.8	– 6.2	– 6.1[2]
New dwellings authorised in 65 towns	– 10.0	1.6	10.8[2]
Equipment:			
Gross asset formation in equipment[1]	22.8	8.5	
Imports of machinery and equipment[1]	21.5	5.7	10.0[2]

1. Current prices.
2. January-September.

Source: Bulletin mensuel de la Banque Nationale Suisse, La Vie Economique, Annuaire Statistique de la Suisse.

have been of the order of 9 per cent, as compared with 6.5 per cent in the previous year. It reflects a faster growth of foreign demand for Swiss commodities and tourist services.

Prices and Wages

The consumer price index rose by 3.1 per cent from 1963 to 1964, somewhat less fast than in the previous year. But the increase of non-food prices accelerated, partly because the upward adjustment of the rent index was larger than in 1963. The wholesale price index (covering only food and basic materials) was relatively stable in 1964. The rise in building costs, though slowing down, remained fairly steep.

The restrictions on employment of foreign workers do not as yet appear to have strengthened the pressure on wages. The growth of average wage rates in industry and building, up about 6 per cent a year in recent years, slowed down somewhat in 1964. It is unlikely that the rise of average hourly earnings exceeded last year's rate of 8 per cent and wage costs may well have fallen somewhat.

TABLE 5. **PRICES**

Percentage rise from previous year.

	1961	1962	1963	1964		
				YEAR	FIRST HALF	SECOND HALF
Consumer prices:						
Total	1.9	4.3	3.4	3.1	3.4	2.8
Food	1.5	5.7	3.7	1.7	2.2	1.2
Non-food	2.2	3.4	3.3	4.2	4.4	4.0
Rent[1]	3.3	5.0	4.2	6.2	7.0	5.4
Other	1.7	2.6	2.9	3.3	3.3	3.3
Wholesale prices[2]	0.1	3.4	3.9	2.0	1.8	2.4
Zürich building prices[3]	8.5	8.0	8.4	6.7	7.2	6.3

1. Changes in rents are normally incorporated in the index in the month of May.
2. Basic food and raw materials only.
3. April and October only.

Source: La Vie Economique and Annuaire Statistique de la Suisse.

Balance of Payments

The current account has been in large and growing deficit since 1961. In 1963 the deficit corresponded to about 3 per cent of GNP, and it increased further in 1964, despite the strong rise of exports. Merchandise imports expanded somewhat faster than exports, with the rise affecting all major commodity groups other than fuels. The increase of the trade deficit in 1964 more than offset the improvement on services account. In the autumn, the rise in imports slowed down and the deterioration of the trade balance ceased, but it is uncertain whether this represents anything more than a temporary movement.

Net capital imports remained in excess of the current account deficit and the increase of official gold and foreign exchange reserves continued. During most of 1964, the capital inflow was not inflated to the same extent as in previous years by episodes of political and financial unrest abroad. But in the two and a half weeks preceding the international action to support Sterling, official reserve holdings went up by $ 137 million. Data relating to security transactions in the German capital market show that there were large net sales of German bonds by Swiss banks and financial institutions in the months following the announcement of the German Government's proposal for a withholding tax on interest payments to foreign owners of German bonds; in 1963 there had been net Swiss purchases of fully $ 300 million. According to United States statistics the previous year's net Swiss investment in long-term securities in the United

TABLE 6. THE BALANCE OF PAYMENTS

US $ million[1].

	1961	1962	1963	1964
Goods and Services, net	– 213	– 340	– 362	– 490[2]
Goods c.i.f./f.o.b., net	– 656	– 792	– 825	– 955
Services, net	443	452	463	465[2]
Foreign travel, net	251	281	300	..
Foreign worker remittances	– 233	– 291	– 337	..
Other, net	425	462	500	..
Capital transactions, net	651	454	566	533[2]
of which:				
Official long-term, net	– 82	– 8	..	..
Foreign bond issues in Switzerland, net	– 200	– 102	– 124	– 64
Authorised lending by Swiss banks	– 96	– 49	– 48	– 46
Increase of gold and foreign exchange reserves	438	114	204	43

1. Exchange rate used: $1 = SF. 4.3.
2. Secretariat estimates.

Source: La Vie Economique ; Bulletin de la Société de Banque Suisse.

States was also replaced by net sales of some importance in 1964. The extent to which these transactions may have affected the Swiss balance of payments is not however known.

The tighter conditions and higher interest rates in the Swiss money market would be expected to have led to repatriation also of short-term investment abroad. But data relating to the United States, the United Kingdom and Germany show that Swiss banks increased their net short-term claims on the banking sector of all three countries during the first half of 1964.

The inflow of foreign capital virtually ceased following the measures taken last spring. It can be assumed that little new foreign capital found its way into Swiss securities, given the existing tight restrictions on foreign investment. The volume of new Swiss securities issued was higher in 1964 as a whole than in the previous year, but it has been roughly at the 1963 level since last spring, when banks and other parties were no longer allowed to undertake net investment in Swiss securities on behalf of non-residents and the control of capital market issues was strengthened. The scope for new non-resident investment in foreign securities narrowed; in the first ten months of 1964, net foreign issues in the Swiss markets were about 50 per cent lower than a year earlier.

Another important investment outlet for foreign capital — Swiss real estate and mortgages — was virtually closed last spring when it was

TABLE 7. NEW PUBLIC SECURITY ISSUES

NET OF REPAYMENTS

Fr. million.

	1961	1962	1963	1964
Bonds, total	1,832	1,325	2,295	2,470
Public authorities and electric power plants	334	303	243	1,037
Banks and mortgage institutions	390	432	1,139	912
Other domestic	248	150	380	244
Foreign	860	440	533	277
Swiss equities, total	364	654	504	555
Total	2,196	1,979	2,799	3,025

Source: Bulletin mensuel de la Banque Nationale Suisse.

made illegal for banks and other professional intermediaries to allow investment of non-resident capital in these fields. This has no doubt contributed importantly to the calmer development of the real estate market in the last few months. In previous years, foreign acquisitions of Swiss real estate had remained high, in spite of the law enacted in mid-1961 to restrict them[1].

It is unlikely that there has been any significant inflow of foreign money into bank accounts in 1964. The blocked account with the National Bank, which contains the equivalent of new foreign deposits (other than savings deposits and deposit accounts of up to Fr. 20,000) not offset by bank investment abroad, stood at Fr. 2.2 million only in mid-November.

It is probable that foreign capital has continued to enter Switzerland in the form of direct investment, which was not affected by the new measures.

II. ECONOMIC POLICY

The persistence of inflationary pressures clearly shows that the policy measures taken in recent years have not been sufficient. Over most of the period, government disinflationary action mainly consisted of gentlemen's agreements between the National Bank and the private banks which aimed at stemming the inflow of foreign capital, neutralising its effect on domestic liquidity and checking the credit expansion. Efforts

1. The Federal Council has recently proposed that this law, which expires in December 1965, should be prolonged for ten years.

were also made to check the rise of prices, wages and building activity, but mainly through official appeals for restraint on the part of the private sector, the cantons and the local authorities. The steps taken in 1963 to arrest the immigration of foreign workers were not primarily conceived of as an anti-cyclical measure. Growing concern had been felt about the large inflow of foreign workers, which had brought the share of foreign labour in the dependent labour force to about 30 per cent, and there is widespread desire that this share should not increase further. Moreover, the authorities feel that a smaller foreign labour intake might have a desirable impact on the conjuncture.

Although it is likely to increase the pressure on wages in the short run, the authorities think that the net effect will be disinflationary because demand for housing would ease and the need for infra structure investment decline. The number of foreign workers entering Switzerland has, however, remained high.

A stronger disinflationary programme was adopted in the spring of 1964. The programme relied largely on policy measures already in use, but they were made more restrictive, their range of application enlarged, and they were given legal force. The programme concerns three main areas: money and capital markets, building and construction activity, and the labour market. Very little progress has been made towards a more active use of budgetary measures for demand management purposes.

Monetary Policy

In 1964, as in earlier years, monetary policy has sought to discourage the inflow of foreign capital and limit the credit expansion resulting from it. The gentlemen's agreements between the National Bank and the private banks, which constituted the main tool of this policy in earlier years, were strengthened and made legally binding last spring.

The provision affecting interest payments on non-resident deposits, a feature of the earlier agreements, was retained. It stipulates that no interest payments shall be made on new non-resident Swiss franc deposits credited since 1st January, 1964, except on savings and deposit accounts of up to Fr. 20,000 and deposits accruing from borrowing in the Swiss capital market or in Swiss banks. Two important new rules were added. First, the banks shall deposit on a blocked account with the National Bank the equivalent of most non-resident deposits (savings and deposit accounts in excess of Fr. 20,000 and all other deposits) credited in Swiss francs since 1st January, 1964, and not offset by bank investment abroad in a foreign currency. Second, the banks shall submit monthly to the National Bank data showing their non-resident deposits and, if their foreign liabilities in Swiss francs exceed the level of end 1963, also data showing the total of their assets held abroad in a foreign currency. The

0.25 per cent quarterly commission for non-resident deposits drawn before six months, stipulated in the original gentlemen's agreement, was abolished in 1963 and has not been reintroduced.

The rules designed to restrict the services that the banks could grant to foreigners wishing to invest in Switzerland were considerably tightened. Previously all banks which were parties to the gentlemen's agreement (banks with a balance sheet total of Fr. 10 million or more) undertook not to sell Swiss securities and real estate to non-residents and to help limit such transactions carried out through other channels. Last spring it was made legally binding for all banks, as well as for all institutions and persons engaged in investment of capital:

i) to refrain from investing on behalf of non-residents in Swiss real estate and mortgages;

ii) to limit investment in Swiss securities on behalf of non-residents during any month to an amount corresponding to the bank's or institution's purchases of such securities from non-residents during the same month. Exemptions are made for new shares of Swiss companies allocated to non-residents on the basis of their existing holdings and for non-resident investments in securities of Swiss investment trusts and holding companies which keep 80 per cent or more of their assets abroad, and in Swiss bond issues, the proceeds of which are converted into a foreign currency and used abroad.

The measures designed to restrict the expansion of bank credit were also tightened. The ceilings for new loans and credits, other than mortgages, provided in the gentlemen's agreement on credit expansion in force since 1962, were lowered last spring. The agreement was made legally binding on all banks with a balance sheet total of Fr. 10 million or more. The following ceilings — expressed as a percentage of the credit expansion in 1960 or 1961, whichever was the greater — were stipulated in the three recent agreements:

	MORTGAGE LOANS	OTHER LOANS AND ADVANCES
Spring 1964, covering the year 1964	108	79
Spring 1963, covering the year 1963	108	82
Spring 1962, covering April-Dec. 1962	85	65

Capital market controls have also been introduced. The authorities are authorised to fix a timetable for all new issues and to request all borrowers to give notice of new placements. Previously only foreign issues had been subject to supervision. The object of the stricter policy is to prevent the capital market from feeding the investment boom to the same extent as in the past, and to limit the rise in interest rates.

Partly as a result of the measures taken, monetary conditions became tighter. The expansion of bank credit slowed down; in the first nine months of 1964 net new mortgage loans (of 62 banks) were 4 per cent lower and other new banks loans 20 per cent lower than a year earlier. The credit ceilings fixed last March appear to have been not fully utilised[1]. But the expansion of bank credit was very considerable in 1960 and 1961 — the reference periods of the existing credit agreement.

The rise in bank deposits also moderated, probably influenced by the fact that savings deposit rates have risen less than most other interest rates.

TABLE 8. SELECTED ASSETS AND LIABILITIES OF 62 BANKS

Fr. million.

	OUT-STANDING END 1963	INCREASE OR DECREASE			
		1962	1963	JAN.-OCT.	
				1963	1964
Assets:					
Cash	4,214	554	178	— 395	— 717
Mortgage loans	21,384	1,650	1,511	1,111	1,052
Loans to public sector	2,396	98	499	271	357
Other lending	19,394	2,172	2,271	1,622	1,106
Liabilities:					
Sight deposits	13,505	1,110	1,013	1,218	728
Time deposits	12,944	1,615	2,294	1,528	1,102
Savings deposits	13,532	1,051	1,074	760	588
Medium-term bonds	8,142	493	83	100	486
Long-term bonds	2,296	184	738	489	628

Source: Bulletin mensuel de la Banque Nationale Suisse.

New issues of bank bonds, notably medium-term bonds, rose sharply in 1964, following a decline in 1963. But the increase was not sufficient to make good the fall in rew bank deposits. Nevertheless, bank liquidity has further declined in 1964. In January-September, liquid reserves corresponded to 26.2 per cent of sight deposits as compared with 28 per cent

1. In January-September new mortgage loans of 62 banks were 9 per cent lower, and their other new loans 30 per cent lower than in the corresponding period of 1961. The credit ceilings, which apply also to banks other than the 62, and to each bank individually, allow the average 1961 level to be exceeded by 8 per cent for mortgage loans while other loans need not be reduced by more than 21 per cent in relation to 1961.

in the corresponding period of 1963. But they appear to have remained at a relatively comfortable level. The banks made greater recourse to National Bank borrowing than previously. Such borrowing did, however, remain limited. The issue by the National Bank of discountable money market paper in August contributed to the decline of bank liquidity. The issue consisted of Federal rescription certificates and amounted to Fr. 225 million. It was taken over by the five large banks, and its proceeds were invested by the National Bank in Roosa bonds.

The increase of bank issue activity contributed to the strong rise of the demand for long-term funds in late 1963 and early 1964. It was not accompanied by any marked increase of the capital inflow, and, therefore, led to an upward movement of interest rates. Short-term rates, which have been climbing fairly steadily since 1962, continued their rise. Medium- and long-term rates had earlier been stable but have risen rather strongly since mid-1963. In July 1964, bank rate was raised from 2 to 2.5 per cent. According to the National Bank, this move was merely intended as an adjustment to the rates already ruling in the money market. The rise of interest rates moderated last summer, partly thanks to the new capital market controls which brought net new issue activity roughly back to the 1963 level in the summer and autumn.

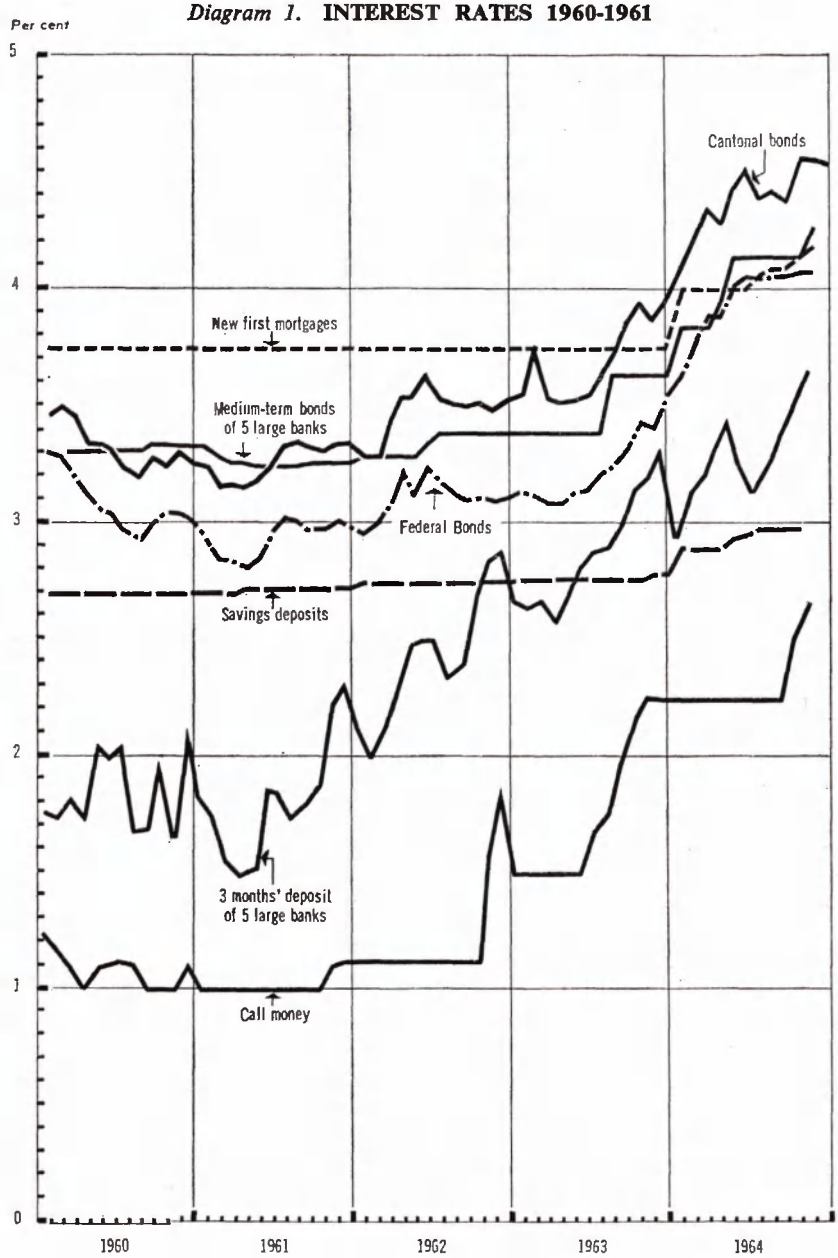
In the early phase of the boom, the policy of the authorities in respect of interest rates was to prevent an excessively steep rise, which was considered undesirable, not only on external, but also on internal grounds. It was thought that a rapid increase of rates, particularly mortgage rates, would lead to higher rents and stronger cost and price pressures (notably in agriculture), which would outweigh the dampening effect of higher interest rates on investment activity. The main tools of this policy were the supervision of foreign issue activity in the Swiss capital market, and recommendations to the banks that they should postpone raising the interest rates offered on their bonds[1]. Since mid-1963, however, the authorities have not endeavoured to prevent a rise of interest rates, although the stricter capital market controls introduced last spring eased the pressure on rates, and in the second hall of last year, the upward movement of rates flattened out.

Building Controls

A system of building quotas for each canton was introduced by Federal Order last spring. Previous efforts to curb the building boom had relied largely on campaigns for voluntary restraint on the part of the private sector and the cantonal and local authorities. The ceilings fixed by the Federal Order for the value of new building starts in 1964 correspond to

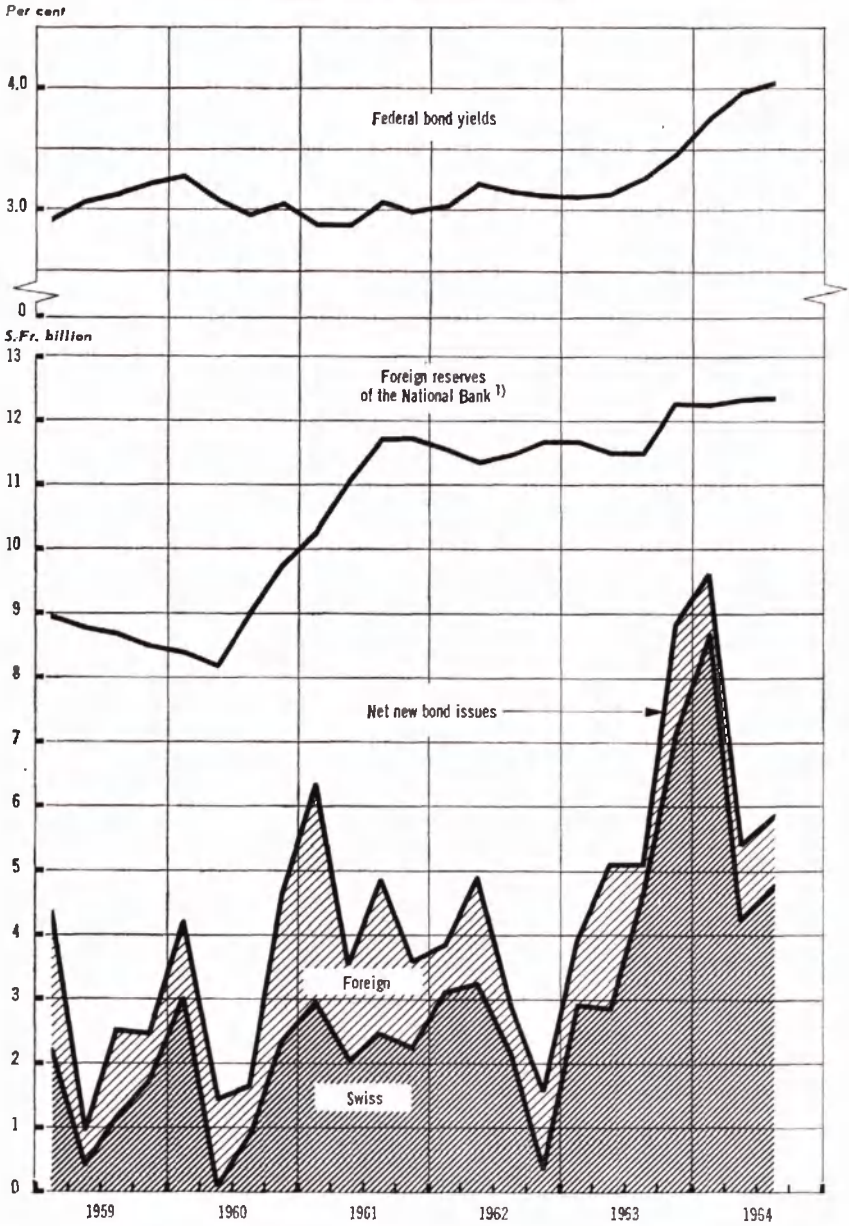
1. Banks with a balance sheet total of Fr. 20 million or more are under the obligation to consult the National Bank before undertaking changes in such rates.

Diagram 1. **INTEREST RATES 1960-1961**



Source: Bulletin mensuel de la Banque Nationale Suisse.

Diagram 2. **INTEREST RATES, EXTERNAL RESERVES AND NEW BOND ISSUES**



1. Turn-of-year fluctuations evened out.

Source: Bulletin mensuel de la Banque Nationale Suisse.

100-110 per cent of actual building starts in 1963, depending on the canton. For certain categories, e.g., public and private administrative building, large villas, sport and entertainment facilities, a complete ban on building starts was imposed for one year, to be replaced by licencing thereafter. High priority building was exempted from licencing, but was to count against the total volume of building authorised in each canton. Construction companies were instructed to commit themselves to execute, within reasonable delays, a certain amount of high-priority building.

Control of Foreign Labour Recruitment

Steps to arrest the foreign labour inflow had already been taken in March 1963, when the Federal Council restricted the issue of employment permits for foreign workers to firms whose total employment, after engaging the foreign worker, did not exceed the average for the year 1962 or the peak in December of that year. This limit was lowered to 97 per cent in February 1964 and to 95 per cent in October. But the reference period was moved forward to March 1964, thus covering the rise of employment which had occurred since 1962.

These measures were supplemented in May by new rules for taking in labour from certain countries. Work permits for labour from those countries would be granted only to employers who were able to prove that the foreign worker would enjoy adequate housing and social security facilities. Furthermore, non-seasonal workers would, as a rule, be admitted only if qualified and of particular interest to the Swiss economy.

Budgetary Policy

The federal budget has been in overall surplus in recent years, which has helped to reduce the liquidity of the economy. But the surplus has shown little tendency to move in a counter-cyclical manner. This is partly due to the fact that tax revenue is strongly influenced by the defence tax, the major part of which is paid only every other year[1]. But there has also been an underlying trend in recent years towards a decline in the surplus; the one obtaining in 1963 was the lowest in ten years. The internally effective surplus has been higher than suggested by the data in Table 9, since there were net payments to abroad. In 1963, this internal surplus amounted, after debt repayments, to Fr. 241 million, representing 0.5 per cent of GNP.

1. The defence tax is the only direct tax going mainly to the Confederation. It is an annual tax assessed over a two-year period. About two thirds of the tax liability for the two-year period is normally received in the first year, as a result of the rebate (3 per cent on tax falling due in the second year) accorded to taxpayers who choose to pay the two instalments in the first year.

TABLE 9. THE FEDERAL BUDGET

Fr. billion.

	1961	1962	1963	1964	1965
	CLOSED ACCOUNT			BUDGET FORECAST	
Receipts:	3.41	4.12	4.21	4.88	4.87
Of which: direct taxes	0.45	0.87	0.58	1.01	0.80
indirect taxes	2.53	2.76	3.07	3.16	3.52
Expenditure:	3.27	3.68	4.08	4.43	4.84
Of which: civil consumption	0.41	0.43	0.50	0.52	0.58
civil investment	0.31	0.36	0.75	0.65	0.76
subsidies	0.73	0.75	0.89	1.04	1.13
military	1.10	1.26	1.32	1.49	1.52
Overall budget surplus[1]	0.14	0.43	0.13	0.44	0.03
Net change in non-monetary assets[2]	0.19	0.05	0.45	0.16	0.54
Net real and financial saving	0.33	0.49	0.57	0.28	0.55
Domestic debt repayments	0.21	0.26	0.09	..	..
Net payments to abroad	0.46	0.18	0.20	..	..
Internally effective surplus[3]	0.40	0.35	0.24	..	..

1. Before debt repayment. Surplus on the " Compte financier ".
2. Surplus on the " Compte des variations de la fortune ".
3. Overall budget surplus less domestic debt repayments plus net payments to abroad.

Source: Swiss Federal Administration.

In 1964, the budget will probably produce a smaller internally effective surplus than in 1962 (both years of high yield of the defence tax). The budget forecast for 1964 provides for a slightly larger overall surplus than that obtaining in 1962. It was recently decided to make Fr. 200 million of the surplus available for refunding operations of housing credits, and supplementary expenditure totalling Fr. 700 million has been voted in 1964. Although revenue may also expand faster than originally expected, the rise may not have been sufficient to offset the increase of unbudgeted expenditure. Moreover, national pension payments, which are not recorded in the budget, have been raised by some Fr. 700 million last year, corresponding to 2 per cent of private consumption.

According to the federal budget for 1965, presented last October, the budget surplus before debt repayments, but including foreign payments, would virtually disappear. However, expenditure cuts subsequently decided by the Financial Commission of the Federal Council have raised the estimated overall surplus to Fr. 27 million. The planned increase of taxes

on petrol, if effected, is likely to produce a substantially bigger surplus. Unusually large debt repayments fall due in 1965. The consolidated debt of the Confederation, which amounted to Fr. 5.4 billion at the end of 1963, will be reduced to Fr. 4.0 billion by the end of 1965, a cut which roughly corresponds to total net federal debt repayments over the six year period 1958-1963. The liquidity effect of this will be partly offset by the issue of rescription certificates in the open market; last October, a Fr. 150 million issue (4 per cent, 5 years) was made partly for this purpose.

A major difficulty involved in achieving a contra-cyclical budget policy lies in the predominance of cantonal and communal expenditure and the rapidly growing needs for public investment, which was restrained during most of the post-war period. The value of public building and construction went up by 26 per cent from 1962 to 1963, and projects reported in January 1964 implied a further increase of 18 per cent last year. Federal expenditure for building and construction is, however, expected to rise by no more than 7 per cent in 1964.

Long-term policy

Although a main preoccupation of the authorities over the last year has been the conjunctural situation, they have also been giving attention to longer-term economic and social problems. Progress has been made in modernisation of the country's infra-structure, the improvement of education and vocational training and the consolidation and unification of labour legislation.

III. THE ADEQUACY OF EXISTING POLICIES

The Swiss authorities have sought to restrain three phenomena which they feel to have been primarily responsible for the inflationary pressures:

a) Demand for building and construction has been excessive;

b) The capital inflow from abroad, and the resulting domestic monetary conditions, has facilitated this excess;

c) Although the labour inflow has contributed importantly to the flexible supply conditions prevailing in Switzerland, the authorities feel that a stage has now been reached where a further expansion of the foreign labour force would add more to demand than to supply because of the accompanying increase in the need for housing and other facilities.

It is too early yet to be able to say whether the measures adopted by the Government are sufficient. It is not easy to restrict the inflow of capital

into Switzerland, and it has, apparently, continued, probably much of it in the form of repatriation of Swiss capital, which it is not the intention of the authorities to prevent. Monetary conditions, however, have become somewhat tighter. Interest rates have risen and since last spring the volume of new bank credit has contracted and the growth of funds raised in the open market has slowed down. This should have an effect on investment in building, equipment and stocks, and there are signs that the overload in the building industry is being brought under control. Interpretation of the statistics is, however, difficult over so short a period. The inflow of foreign labour continues, but more slowly than before.

It is uncertain whether the measures taken so far with regard to foreign labour will, in fact, achieve the Government's objective of reducing the foreign labour force; they may do no more than reduce its growth. The essence of the system is to allow recruitment of foreign workers so long as a firm's total employment, after such recruitment, is no higher than 95 per cent of the 1st March 1964 level. The tendency for Swiss workers to leave certain industries and occupations is strong, and seems to be on a larger scale than expected by the authorities. The foreign labour intake may, therefore, continue as a result of new recruitments by industries and firms unable to retain Swiss workers. Moreover, the system may not be the best one from the point of view of resource allocation, since those industries and firms will tend to be the less efficient ones. And it has proved difficult to administer effectively. More satisfactory results might perhaps be obtained if the system introduced last May in respect of a small part of the foreign labour inflow were more generally adopted. This system limits the labour intake qualitatively, and obliges the employer to prove that adequate housing and social security facilities will be available.

While judgement concerning the adequacy of the existing contra-cyclical policy measures needs to be suspended, it seems very likely, given the size of the imbalance, the strength of the expansionary forces, and the exposure of the economy to external circumstances, that relaxation of the measures in 1965 would again bring to the fore the problems they were designed to combat. Indeed, the need for further action — whether by a strengthening of existing measures or the introduction of new ones — cannot at this stage be excluded.

If there should be need for further action to reduce the net capital inflow from abroad, the policy in respect of foreign issue activity in the Swiss capital market and that part of long-term bank lending to abroad which requires authorisation by the National Bank offers scope for action. If, however, the capital inflow were to be largely of a short-term nature it could not well be fully offset by long-term capital exports.

An increase of public development aid from its present relatively

low level, desirable in itself, could also serve to offset the internal effects of any continued inflow of long-term capital from abroad[1].

Some restraint of private consumption via fiscal policy could help importantly to ease demand pressures. In practice however, budgetary action is apparently difficult. The rise of budgetary expenditure cannot easily be checked, and the latitude of the Federal authorities in the tax field is limited in the existing institutional framework. Traditionally the budget has not been thought of as an instrument of demand management policy and little has been done to prepare the ground for a flexible budget policy. Further measures affecting hire-purchase transactions are also relevant, but such transactions are of limited importance in Switzerland.

Lack of appropriate policy instruments readily available to the authorities may, indeed, jeopardize Switzerland's ability to combine rapid economic growth with the degree of price stability desired. During the 1950's, stability was heavily facilitated by the flexible labour supply. But in the last few years the rapid increase of the labour force, resulting from foreign immigration, has not been sufficient to maintain stable conditions. The objective of the Swiss authorities is now to arrest or reverse the inflow of foreign labour. There is, therefore, need to develop an adequate set of policy instruments to enable demand management to be effective. The special powers conferred temporarily on the authorities early in 1964 would seem to be the very minimum necessary.

Plans have been discussed for a number of years for according the National Bank new powers to pursue an active monetary policy. The main instruments envisaged are open market operations and minimum reserve requirements.

IV. SUMMARY

Inflationary pressures have remained strong in 1964, with a large current external deficit and a persistent upward movement of prices. There are, however, indications that the disinflationary measures adopted in the spring — consisting mainly of direct intervention by the Federal authorities to restrict the inflow of foreign labour and capital, bank credit expansion and building activity — have begun to bite. The growth of bank credit has become more moderate, the volume of building projects authorised

1. In December, Parliament voted credits of $ 21 million for Federal technical development aid in the period 1964-1967. In 1963, disbursements of such aid had amounted to $ 6 million and $ 101 million worth of new export credit to developing countries (of which one fifth of more than five years' duration) had been guaranteed by the Federal Government. Net long-term private capital exports to developing countries and multilateral agencies had amounted to $ 63.5 million in 1963.

has been reduced, and the inflow of foreign labour has slowed down somewhat.

It is too early to judge whether the measures taken are strong enough to restore stable conditions. Further disinflationary action may well be needed. Experience of recent years shows that the Swiss economy is not well-equipped for dealing with demand pressures. The less flexible labour supply conditions likely to prevail in the future reinforce the need for incomes and demand management policies. Further progress needs to be made in providing the National Bank with appropriate policy instruments; and the ground must be prepared for a more flexible budget policy.

STATISTICAL ANNEX

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Table I. GROSS NATIONAL PRODUCT AND EXPENDITURE

Millions of Swiss francs at 1958 prices.

	1961	1962	1963
Consumers' expenditure on goods and services	24,450	26,070	27,605
Government current expenditure on goods and services	4,145	4,520	4,785
Gross fixed asset formation	9,675	10,715	11,400
Stock changes	1,495	1,105	625
Exports of goods and services, incl. income payments from abroad	12,635	13,395	14,095
Less: imports of goods and services, incl. income payments to abroad	14,020	15,485	16,290
Gross national product at market price	38,380	40,320	42,220
Income payments to abroad	555	585	620
Less: income payments from abroad	1,120	1,205	1,250
Gross domestic product at market price	37,815	40,940	41,596

Source: OECD submission.

Table II. DISTRIBUTION OF NATIONAL INCOME

Millions of Swiss francs at current prices.

	1961	1962	1963
Income from dependent employment	21,420	23,940	26,660
Wages and salaries	19,340	21,565	24,040
Employers' contributions to social insurance	1,980	2,265	2,505
Pay and allowances of Armed Forces	100	110	115
Income from self-employment	6,580	7,210	7,660
Income of households from property, net	3,480	3,775	4,115
Interest	1,560	1,720	1,905
Rent	965	1,025	1,080
Dividends	955	1,030	1,130
Less: Interest on consumer debts	65	70	50
Corporate savings	2,005	2,105	2,255
Direct corporate taxes	845	1,065	1,050
Government income from property and entrepreneurship	1,215	1,340	1,360
Less: Interest on public debt	560	585	615
National income at factor cost	34,920	38,780	42,435
Indirect taxes	3,015	3,295	3,650
Less: Subsidies	405	420	485
Net national product at market prices	37,530	41,655	45,600

Source: La Vie Économique.

Table III. GROSS ASSET FORMATION AND SAVINGS

Millions of Swiss francs at current prices.

	1961	1962	1963
Total gross domestic asset formation	12,350	13,780	15,120
Dwellings	3,100	3,255	3,590
Other building and construction	4,075	4,895	5,940
Machinery and equipment	3,655	4,490	4,870
Stock accumulation	1,520	1,140	720
Total savings	12,350	13,780	15,120
Government	1,660	2,040	1,865
Social insurance	645	625	750
Public enterprises	245	220	160
Corporations	1,760	1,885	2,095
Depreciation	3,960	4,395	4,855
Households and non-profit making institutions	3,065	3,040	3,710
Net borrowing from abroad	1,015	1,575	1,685

Source: OECD submission.

Table IV. GOVERNMENT FINANCE

Millions of Swiss francs at current prices.

	FEDERAL GOVERNMENT			OTHER GOVERNMENT		
	1916	1962	1963	1961	1962	1963
Current receipts	3,385	4,055	4.120	7,025	7,850	8,640
Personal taxes	365	635	460	4,180	4,680	5,225
Corporate taxes	90	230	120	755	835	930
Indirect taxes	2,620	2,865	3,185	395	430	465
Income from property and entrepreneurship	235	250	270	980	1,090	1,090
Other current transfers	70	70	80	705	805	915
Current transfers from abroad	5	5	5	10	10	15
Current expenditure	3,110	3,695	3,900	4,995	5,545	6,245
Goods and services	1,530	1,680	1,720	3,070	3,645	4,145
of which: civilian	535	525	520	3,045	3,620	4,115
Subsidies	310	305	350	95	115	135
Interest on public debt	265	270	270	295	315	345
Current transfers	1,005	1,440	1,560	1,535	1,470	1,620
to other public authorities	820	1,235	1,325	—	—	—
to households	150	165	195	1,485	1,415	1,565
to abroad	35	40	40	50	55	55
Net savings	275	360	220	2,030	2,305	2,395

Source: OECD submission.

Table V. THE FOREIGN LABOUR FORCE[1]

Thousand.

	1962		1963		1964	
	FEB.	AUG.	FEB.	AUG.	FEB.	AUG.
Total	445.6	644.7	512.4	690.0	546.2	720.9
By professions:						
Agriculture, forestry, fishing	10.3	24.1	9.2	21.8	10.1	19.7
Mining, quarrying	0.7	1.4	0.8	1.4	0.8	1.2
Manufacturing	243.8	287.6	287.7	313.5	300.7	327.4
Building, construction	44.9	162.8	52.3	175.1	64.9	186.3
Commerce, administration	17.4	20.2	22.5	24.2	26.7	28.2
Hotels, restaurants	59.1	71.1	63.0	72.8	64.0	75.9
Transport, communications	2.2	3.3	3.6	4.2	4.4	5.5
Liberal and technical professions	23.1	25.8	27.1	28.8	29.9	30.9
Domestic service	28.0	28.8	26.2	27.1	24.9	24.7
Other	16.1	19.6	20.0	21.1	19.8	21.1
By nationality:						
Italian	285.2	454.4	323.2	472.0	335.6	474.3
Spanish	26.0	44.2	44.2	63.7	55.5	82.3
German	72.1	77.7	74.9	78.4	76.1	78.6
Austrian	27.6	29.0	26.3	27.9	26.6	27.7
French	16.9	18.7	20.5	21.2	22.7	24.0
Other	17.8	20.7	23.3	26.8	29.7	34.0
By sex:						
Men	271.4	443.1	321.4	480.6	345.2	501.6
Women	174.2	201.6	191.0	209.4	201.0	219.3

1. The data relate to persons subject to police control and do not include the some 150,000 foreign workers who have been exempted from such control.

Source: La Vie Économique.

TABLE VI. EMPLOYMENT IN MINING AND MANUFACTURING[1]

Thousand.

	MANPOWER				TOTAL	
	SWISS		FOREIGN			
	1963	1964	1963	1964	1963	1964
Mining and quarrying	0.3	0.3	0.1	0.1	0.4	0.4
Manufacturing	453.3	449.4	267.4	285.5	720.7	734.9
Food, drinks, tobacco	30.8	30.6	16.6	17.8	47.4	48.4
Textiles	36.2	33.5	32.9	34.1	69.1	67.6
Clothing, shoes	27.1	25.9	37.8	40.4	64.9	66.3
Chemicals	29.6	29.7	6.5	7.9	36.1	37.6
Building materials	13.4	13.5	13.5	14.3	26.9	27.8
Metals, metal products	59.6	59.4	38.9	42.0	98.5	101.4
Machinery, electrical equipment	114.8	116.5	64.3	68.3	179.1	184.8
Instruments, apparatus	9.9	9.7	5.7	5.9	15.6	15.6
Watches, jewellery	53.4	51.6	12.7	14.8	66.1	66.4
Other	78.5	79.0[2]	38.5	40.0[2]	117.0	119.0[2]

1. The data cover dependent employment in enterprises subject to the Factory Law and relate to September.
2. Provisional data.

Source: La Vie Économique.

TABLE VII. LABOUR MARKET AND WORKING TIME

	1961	1962	1963	1963	1964
				JAN.-OCT.	
Labour Market (monthly averages):					
Job applicants	975	832	1,014	1,075	407
of which: wholly employed	647	599	825	886	259
Vacancies	6,349	5,983	6,126	6,264	6,394
Working time:				JAN.-SEPT.	
Average weekly work hours, manufacturing	45.8	45.6	45.5	45.5	45.4
Average weekly work hours, building	47.9	47.2	47.4	48.1	48.1
Total hours of overtime, manufacturing (million)	18.1	17.3	16.6	12.7	12.9

Source: La Vie Économique; General Statistics OECD.

TABLE VIII. WAGES : PRICES

Percentage change from previous year.

	1961	1962	1963	JAN.-SEPT.	
				1963	1964
Wage rates, industry and building	4.3	5.7	6.2	5.9	5.7
Average hourly wages[1]	6.5	7.6	8.2	..	..
Average monthly salaries[1]	5.1	6.6	6.2	..	..
Total income from dependent employment	12.8	11.8	11.4	..	..
Cost of living	1.9	4.3	3.4	3.3[2]	3.2[2]
Wholesale prices, food and basic materials	0.1	3.4	3.9	3.9[2]	2.2[2]
Import prices	—	1	3	3	2
of which: machinery and equipment	5	3	4	6	3
Export prices	2	3	4	4	3
of which: machinery and equipment	2	6	5	5	5

1. The data relate to the month of October and cover industry, handicrafts, trade, banking, insurance and private transportation.
2. January-October.

Source: La Vie Économique; General Statistics OECD.

TABLE IX. MERCHANDISE TRADE

U.S. $ million.

	IMPORTS c.i.f.					EXPORTS f.o.b.				
	1961	1962	1963	JAN.-SEPT.[1] 1963	JAN.-SEPT.[1] 1964	1961	1962	1963	JAN.-SEPT.[1] 1963	JAN.-SEPT.[1] 1964
By area:										
OECD countries	2,354.2	2,653.4	2,857.3	2,109.3	2,334.9	1,444.8	1,604.5	1,757.0	1,257.0	1,390.7
EEC	1,684.6	1,893.6	2,070.3	1,542.9	1,644.4	836.0	918.7	1,010.4	724.4	769.6
EFTA	322.8	389.7	433.4	317.7	391.4	327.2	367.8	399.1	287.2	348.6
Other in Europe	33.2	40.9	42.7	26.0	34.2	59.1	72.6	90.2	63.8	73.1
North America	313.6	329.0	310.9	222.7	264.9	222.5	245.4	257.3	181.6	199.4
Non OECD countries	339.1	347.2	377.3	277.1	335.9	584.1	595.5	644.6	456.0	509.3
Eastern Europe	61.6	58.3	61.2	42.5	51.0	64.8	58.1	63.8	44.0	43.9
Other Europe	17.7	15.0	18.6	12.6	15.8	39.3	43.4	52.2	37.4	44.4
Africa	73.6	60.3	68.8	50.6	69.5	72.7	79.0	89.6	60.5	70.3
America	91.1	104.8	107.5	81.3	94.8	160.4	158.2	155.3	109.7	120.8
Asia and Oceania	94.6	108.1	120.4	89.2	104.8	245.8	256.0	282.1	202.4	230.0
of which: Japan	31.9	37.4	39.1	28.2	32.8	42.2	47.2	60.6	43.1	49.8
Total	2,693.3	3,000.6	3,234.6	2,386.4	2,670.8	2,028.9	2,200.0	2,401.6	1,713.0	1,900.0
				JAN.-JUNE					JAN.-JUNE	
By SITC Sections:										
0. Food, live animals	349.8	395.7	426.4	196.2	245.0	93.2	93.3	104.4	45.8	47.2
1. Beverages, tobacco	57.3	65.4	73.2	35.1	38.6	15.0	19.2	27.4	11.3	16.5
2. Crude materials, except fuels	239.9	235.0	245.1	119.2	133.6	38.9	42.2	53.8	25.8	30.0
3. Mineral fuels, lubricants, etc.	184.8	201.0	268.5	126.0	121.1	0.8	1.1	1.4	0.6	1.1
4. Animal and vegetable oils and fats	16.2	16.3	15.6	7.6	7.8	2.3	2.0	2.3	1.0	1.1
5. Chemicals	231.1	245.5	255.7	121.8	149.8	386.8	416.1	465.8	225.1	254.5
6. Semi-manufactures	699.8	728.4	754.1	361.9	395.6	364.1	383.1	415.4	198.0	222.8
7. Machinery, transport equipment	638.1	799.6	823.8	432.1	483.5	632.8	692.8	743.3	363.1	384.9
8. Other manufactures	266.5	304.3	357.2	161.6	200.5	489.7	539.3	571.2	258.4	282.7
9. Other	10.9	9.5	15.2	4.8	11.1	6.0	10.9	16.6	6.4	6.5
Total	2,693.3	3,000.6	3,234.6	1,566.3	1,786.4	2,028.9	2,200.0	2,401.6	1,135.5	1,247.5

1. 1964 including non-monetary gold.

Source: OECD Foreign Trade Statistics, Series A and B; U.N. Commodity Trade Statistics.

TABLE X. MONEY AND CAPITAL MARKET

End of period, Fr. million and percentages.

	UNIT	1961	1962	1963	1964			
					MARCH	JUNE	SEPT.	DEC.
Official discount rate	Percentage	2.00	2.00	2.00	2.00	2.00	2.50	2.50
Yield to redemption on Federal bonds	—	2.98	3.12	3.54	3.89	4.05	4.05	4.07
Mortgage rate (new first mortgages, 12 Cantonal banks)	—	3.76	3.76	3.78	4.00	4.01	4.09	4.22
Medium-term bank bond rate (5 large banks)	—	3.27	3.39	3.64	3.85	4.14	4.14	4.29
Savings deposit rate (12 cantonal banks)	—	2.73	2.75	2.79	2.90	2.96	2.98	2.98
Money supply, total	Millions of	22,176	24,662	26,464	25,969	26,682	26,511	..
of which: Note circulation	Swiss francs	7,656	8,506	9,035	8,682	8,823	8,973	9,772
Sight deposits with 62 banks	—	11,381	12,491	13,505	13,775	14,262	14,026	..
Deposits on postal cheque accounts	—	2,643	3,140	3,353	2,941	3,026	2,941	3,513
National Bank gold and foreign exchange holdings	—	11,920	12,411	13,287	11,858	12,737	12,267	13,473
of which: Gold	—	11,078	11,543	12,204	11,003	11,247	10,956	11,794
Gold cover of note circulation and sight deposits with the National Bank	Percentage	104.5	102.1	99.8	102.6	97.7	96.9	90.8
Bank's sight deposits with the National Bank	Millions of Swiss francs	2,947	2,800	3,188	2,047	2,686	2,332	3,271
Recourse to National Bank credits	—	136	195	240	251	136	210	240
Time and savings deposits with 62 banks	—	20,441	23,108	26,476	26,829	27,396	28,127	..
Loans and advances by 62 banks	—	34,974	38,893	43,174	43,625	44,488	45,414	..
Average share prices (per cent of nominal value)	Percentage	1 139	835	784	742	665	676	656
Average prices of industrial shares (per cent of nominal value)	—	1 528	1 076	1 007	966	876	897	861

Source: Bulletin mensuel de la Banque Nationale Suisse; La Vie Économique.

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